Architeriors Interior Design (L.L.C) v Emirates National Investment Co (L.L.C) [2024] DIFC TCD 001

JULY 31, 2025 TECHNOLOGY AND CONSTRUCTION DIVISION - JUDGMENTS

Claim No: TCD 001/2024

IN THE COURTS OF DUBAI INTERNATIONAL FINANCIAL CENTRE

IN THE COURT OF FIRST INSTANCE

BETWEEN

ARCHITERIORS INTERIOR DESIGN (L.L.C)

Claimant

and

EMIRATES NATIONAL INVESTMENT CO (L.L.C)

Defendant

Hearing :	**30 June 2025 to 3 July 2025**
Counsel :	Michelle Nelson instructed by Hamdan Al Shamsi Lawyers & Legal Consultants LLC for the Claimant Sean Yates instructed by Conselis Law for the Defendant
Judgment :	**31 July 2025**

JUDGMENT OF H.E. JUSTICE ROGER STEWART

UPON the Part 7 Claim Form dated 24 April 2024

AND UPON the Case Management Order of H.E. Justice Maha Al Mheiri of 8 October 2024 (the "CMO")

AND UPON hearing Counsel for the Claimant and Counsel for the Defendant at the Pre-Trial Review before H.E. Justice Roger Stewart on 2 June 2025

AND UPON hearing Counsel for the Claimant and Counsel for the Defendant at the Trial listed on 30 June 2025 to 3 July 2025 before H.E. Justice Roger Stewart (the "Trial")

IT IS HEREBY ORDERED THAT:

1. The Defendant shall pay the Claimant the sum of AED 2,719,662.58 in accordance with the final account set out at Appendix 1 of this Judgment.

2. The parties are to check the Court's figures and seek to agree any consequential findings in relation to interest and costs or alternatively set out their respective positions in relation to interest and costs and to file such positions with the Court by no later than 7 days from the date of this order.

Issued by:

Hayley Norton
Assistant Registrar
Date of Issue: 31 July 2025
At: 12pm

SCHEDULE OF REASONS

Introduction

1. In this case, Architeriors Interior Design LLC ("Architeriors") (the "Claimant") sues Emirates National Investment Co LLC ("ENI") (the "Defendant") pursuant to a contract dated 14March 2022 (the "contract") for works of refurbishment at the Amber Residency, plot 366-129 Dubai (the "Amber Residency") for:

(a) Recovery of what are said to be additional costs required to comply with the original contract specification as a result of an alleged agreement to provide materials of a lesser specification;

(b) An extension of time of 200 days and associated prolongation costs for the period between the revised completion date of 17 November 2022 and 5 June 2023 which was the date of the taking-over certificate; and

(c) Additional payments for variations and the reversal of what are said to be illegitimate deductions.

2. ENI:

(a) Disputes the change of specification claim;

(b) Asserts that the agreement which provided for a revised completion date settled not merely time claims but all contractual claims prior to its date;

(c) Disputes the majority of the claimed extension of time on various grounds and counterclaims for:

(i) Its alleged actual damage suffered for engineering fees; and

(ii) Liquidated and ascertained damages of AED 10,000 per day up to 10% of the contract sum which it seeks to increase to its alleged lost rent;

(d) Substantially accepts the amount of actual prolongation costs incurred on a daily basis but disputes the basis for recovery of head-office overheads;

(e) Disputes some but not all of the claimed variations and asserts an entitlement to repayment of some sums granted in respect of what are said to be illegitimate variations;

(f) Asserts an entitlement to make deductions or claim damages for works

(i) said not to have been executed;

(ii) said to be incomplete; and

(iii) said to be defective;

(g) Claims to be entitled to amounts paid to DEWA for water and electricity; and

(h) Claims sums to be due in respect of remedying defects arising during the Defects Liability Period for Defective Waterproofing.

3. At one stage ENI also claimed in respect of sums certified to Glory, a nominated sub- contractor, but it appears that direct proceedings took place between Glory and Architeriors with no claim being pressed by ENI in these proceedings. ENI also has a pleaded claim for loss of reputation but no argument has been addressed in respect of such claim and to the extent that it is maintained, I consider there is no basis for it.

4. The issues can, accordingly, be divided as follows:

(a) The change in specification claim which depends upon an analysis of the contract formation and the basis of the claim;

(b) The extent of the settlement which granted an extension of time;

(c) The claims in respect of delay including prolongation, head-office overheads, liquidated damages, supervision costs and rental costs after the agreed extension;

(d) The claims for variations;

(e) The counterclaims for incomplete and non-executed works;

(f) The counterclaims for defective works;

(g) The issues in respect of the DEWA payments; and

(h) The defects liability claim in respect of defective water-proofing.

Outline Facts

5. The Amber Residency, is a low-rise residential property. It comprises a basement, ground floor, and two residential floors, with a total of 74 apartments. Of these, 16 are one-bedroom and 58 are two-bedroom apartments. The building was, at contract commencement, almost 20 years old. It is situated in a very good location, Umm Suqeim close to Kite Beach. Refurbishment was necessary in order to maintain, and indeed enhance, the value of the property and increase the rents which could be charged.

6. ENI is an experienced property owner and developer having been established in 1982 by Dr Mohammed Khalfan Bin Kharbash, a former UAE Minister of Finance and Industry. It has successfully delivered projects which are of a far bigger scale than the re-development of the Amber Residency such as Churchill Towers in Business Bay comprising a 42-floor office tower and a 56-floor residential tower with 1,131 units.

7. ENI engaged Bisman & Massey Architecture FZ LLC ("BAM") as consultant for the design and supervision of the project. BAM produced the drawings and an extensive specification. The intention was that the project could be undertaken on a fast-track basis with a month for mobilization and five months to undertake the works including testing and commissioning.

8. Ian Banham & Associates Consulting Engineers was appointed as the MEP consultant reflecting the significant MEP component of the works. Hind Mohammed Khalfan Bin Kharbash, the CEO of ENI was the Employer's Representative.

9. The contract was put out to tender on the basis that a heavily modified version of the 1999 FIDIC Red Book would be used. A significant number of the amendments were such as to shift risk from the employer to the contractor.

10. Architeriors was a relatively small contractor. It did not, of course, have to bid for the project but chose to do so. It submitted a total of 5 offers for the project in circumstances which I consider more fully below when discussing Architeriors' change of specification claim:

(a) 2 initial offers of AED 34,398,474.63 and 25,726,830 respectively under cover of a letter dated 9 December 2021 (page 5763);

(b) A revised offer of AED 21,236,975.23 under cover of an email dated 2 December 2021 (page 5995);

(c) A further revised offer for AED 21,236,975.23 under cover of an email and letter dated 26 December 2021 (page 6121); and

(d) A Best and Final Offer of AED 18,191,560.11 on 28 December 2021.

11. Thereafter:

(a) ENI issued a letter of acceptance in respect of the Best and Final Offer on 4 January 2022 which was counter-signed as being accepted on 10 January;

(b) BAM issued a Notice to Proceed identifying the Contract Commencement Date as being 17 January on the same day;

(c) A base-line programme was submitted on 11 March 2022;

(d) The parties entered into the Construction Contract on 14 March 2022;

(e) The works were delayed for a number of reasons and Architeriors claimed to be entitled to variations and additional payments;

(f) On 28June 2022, the parties agreed the appointment of an adjudicator in order to seek to resolve a dispute concerning an alleged variation for plaster works; and

(g) On 16 August 2022, the Adjudicator decided that Architeriors was not entitled to a variation.

12. On 2 September 2022, the parties met and then signed a two-page document entitled "Minutes of Meeting Amber Refurbishment Contract" which was subsequently referred to as "MOM". The MOM:

(a) had four points under the heading "Points of Discussion"; namely

(i) To agree the new completion date;

(ii) Under the sub-heading "Cost compensation" "to agree that Cost Compensation covers all claims raised related to extension of time…and prolongation compensation including the AED 145k claim related to the tenant occupancy or identified by the Contractor up to date";

(iii) To revise the programme so as to reflect the new completion date; and

(iv) Any other points raised by either party;

(b) Had seven paragraphs under the heading "Conclusion":

(i) An extension of time until 17 November 2022;

(ii) Agreement that delay damages would not apply until 30 November 2022;

(iii) The statement at paragraph 3 "As a monetary compensation for the Extension of Time… ENI has agreed to pay AED700k… to the Contractor as full and final compensation against all Contractor's claims up to date including the AED 145k claim related to the tenant occupancy) related to the previous nonvacant units and the tenant occupied unit 212 at Amber";

(iv) The statement at paragraph 4 "The Contractor agreed and both parties have agreed and confirmed that all previous letters, emails and claims related to this matter and all other heads of claim including any notice of claim raised by the Contractor and the Employer on the Amber Project have been concluded and closed upon signing of this MOM."

(v) Agreement that AED 700k would be paid within 5 days;

(vi) A mechanism for submitting and reviewing a revised programme; and

(vii) Agreement that the contract completion date would be revised to 17 November 2022.

13. The parties are agreed that the MOM is valid and binding according to its terms and:

(a) A valid extension of time was granted until 17 November 2022;

(b) All time-related claims as at the date of the MOM are settled;

(c) That ENI has no entitlement to delay damages prior to 30 November 2022.

14. Architeriors seeks to make certain non-time claims which ENI states are settled under the MOM.

15. A revised baseline programme was submitted on 18 September 2022 and approved with comments on 16 October 2022. As a result of the MOM I only have to consider time issues from the date of the MOM. Further the delay experts are agreed that the revised base-line programme is the appropriate underlying programme against which to decide the issues.

16. After the MOM further delays took place to the progress of the works which I consider below. A qualified Taking Over Certificate was issued on 5 June 2023 which Architeriors rejected on 8 June 2023.

17. Thereafter:

(a) On 23June 2023 BAM issued a letter to Architeriors identifying incomplete works in respect of the fire alarm with total sums to be deducted of AED 36,925 plus any other sums required to complete the fire alarm works;

(b) On 25 June 2023, Architeriors issued its “Statement at Completion” (which sought a total amount of AED 9,745,487.74 after total receipts of AED 17,979,726.30 (including direct payments to suppliers) including:

(i) Variations of AED 2,498,592.61;

(ii) Prolongation costs of AED 2,073,034.93;

(iii) What were said to be:

1. Additional costs due to employer selection of AED 1,938,345.16; and

2. Difference in price between alternative offer and specification of AED 4,007,618.58

Which represents the change in specification claim in its original form; and

(c) After proceedings were issued, ENI issued an extensive counterclaim including in respect of items where no complaint had previously been made.

The Evidence

18. Extensive documentary, factual and expert evidence was produced. In particular:

(a) The parties prepared an initial bundle, without book-marks, running to 51,545 pages which was supplemented during the trial. The bundle could not be described as easy to navigate. Where I refer to numbers in brackets, the references are to this electronic bundle.

(b) Architeriors called:

(i) Mr Khayer, Architeriors project manager on the Amber Residency until January 2024, who produced two relevant witness statements of 16 and 29 pages;

(ii) Mr Spruit, an Associate Director of Currie & Brown, who gave expert evidence in relation to delay with a 49-page initial report (plus appendices), a 29-page Reply Report (plus appendices) and a joint statement; and

(iii) Mr White, the principal of White Consulting DMCC who produced a 65-page initial report, a 26-page Reply report and a joint statement – all with appendices;

(c) ENI called:

(i) Mr Elsadig, a senior project manager with an involvement with the Amber Residency project from January 2021 until June 2024 who produced two witness statements running to 92 pages and 9 pages;

(ii) Mr Tousiakis, a partner at HKA Global, who gave delay evidence with a 230- page report, a joint report and a further document on 30 June – all with appendices;

(iii) Mr Corelj, another partner in HKA Global who is both a Chartered QS and a structural engineer who produced an 83-page initial report and a 50-page Reply report as well as a joint statement – again all with appendices;

(iv) Mr Clarke, a further partner in HKA Global and Chartered Architect who produced a 63-page initial report and a 19-page supplemental report plus appendices; and

(v) Mr Heer, a valuer with Cushman & Wakefield, who produced a 39-page valuation report.

19. I consider that all witnesses were seeking to assist the court and make observations on their relevant evidence when dealing with the individual issues. However:

(a) Mr Elsadig's witness statements consisted to a considerable of recitation of documents and argument in a way which was not of real assistance and made it difficult to understand what matters were within his own knowledge and what consisted of mere recitation of ENI's case;

(b) The extent to which both factual witnesses were able to provide real assistance in the resolution of the disputes was limited. As is so often the case, the documentary record provides the primary basis for resolving the disputes between the parties; and

(c) Despite the volume of expert evidence and the helpful joint statements, there were a surprising number of issues upon which the experts were not able to provide real assistance due to uncertainty as to the underlying factual position.

20. Given the relatively limited sums in issue, the sheer volume of expert evidence together with the seniority of the persons providing it gave the case something of an atmosphere equivalent to two Formula 1 teams competing for a prize in a local go-karting competition

The Change in Specification Claim

21. This claim has been put in a variety of different ways by Architeriors:

(a) It was first put forward in the Statement at Completion referred to above where:

(i) It was divided under two heads “Appendix D Additional Cost Due to Employer Selection” of AED 1,938,345.16 and “Appendix F Difference in Price between Alternative Offer and Specification” of AED 4,007,618.58;

(ii) Appendix D had a total of 35 items with headings for the Bill of Quantity Price, the Actual Paid amount, the amount overpaid, a reference and the total claimed including overhead and profit;

(iii) Some items had no Bill of Quantities price and were presumably based on assertions that they were extra items. One of the largest items was for AED 531,255.50 in respect of the rejected variation for plaster works;

(iv) There was no attempt to explain the contractual basis for departing from the Bill of Quantities price where the same was given. Thus the first item was for Access Control Systems with a Bill of Quantities price of AED 26,075.23 and an actual paid amount of AED 30,000. No explanation was given as to why Architeriors could charge the higher amount plus overhead and profit; and

(v) Appendix F simply had seven general headings plus a total, thus the largest heading was AED 2,092,666.12 for Joinery with no attempt to explain how this was made up or the contractual justification for the claim;

(b) In the Particulars of Claim, it was alleged

(i) At paragraph 7.12 that when ENI “proposed a new set of specifications” Architeriors sent a revised proposal of AED 18,191,560.11;

(ii) At paragraph 22.1 that the claim was for additional costs “due to the Engineer’s upgrading of the specifications”;

(iii) At 22.3 that Architeriors never signed the specifications because they were substantially different from the latest proposal;

(iv) At 22.4 to 22.6 that the Engineer insisted on the “original specification”; “which had been excluded from the Claimant’s quotation at tender phase” with the result that Architeriors “is entitled for all additional costs incurred due to the Defendant insisting on using the upgraded specification” and that a breakdown was provided in the Consolidated claim in the sum of AED 6,136,704.62;

(c) The consolidated claim attached to the Particulars of Claim at Appendix C (171-172) showed the variances between the tender bids of Architeriors and then had a column with "actual difference" adding up to the claimed figure – which was taken from a breakdown on the previous pages for items largely entitled "Alternative Specification" but with some other descriptions;

(d) In the Claimant's Written Opening, the claim was put on the basis that:

(i) It arose by way of variation on the basis that the materials that would be used to complete the works would be of a different and lower cost alternative specification which it was alleged had been understood to be agreed between the parties (see paragraphs 8 and 9);

(ii) This was why Architeriors did not sign the specification and raised the issue with the Adjudicator who dealt with the plaster dispute; and

(iii) The Claimant was entitled to AED 6,060,611.09 which was set out in a modified version of the earlier schedule.

22. In support of the Claim, Architeriors relies on the evidence of Mr Khayer in relation to the factual basis of the claim, Mr Clark in relation to upgrades of materials and Mr White in relation to quantum. In relation to this evidence:

(a) Mr Khayer was the Architeriors' Project Manager until January 2024 and attended 3 budget meetings with representatives of ENI and BAM prior to contract award;

(b) The substance of his evidence in his first witness statement was:

(i) That ENI stated on several occasions that their budget was significantly less than the price submitted in the original proposal and that Mr Khayer explained that the only way to reduce the price was to reduce the specifications;

(ii) That ENI stated that its budget was AED 18m and wanted Architeriors to provide a revised price based on ENI's budget considering reduced specifications to be agreed with BAM during the construction stage;

(iii) That Revisions 1 to 3 were based on "the alternative specifications agreement";

(iv) That Architeriors "accepted to enter into the contract with ENI and to agree on the specifications whilst the works were ongoing";

(v) That Mr Saleh Noubani, the Managing Director of Architeriors instructed Mr Khayyer to make sure that Mr Khayyer co-ordinated with BAM to agree on the alternative specifications; and

(vi) That the contract specifications were not signed as they were not agreed by Architeriors;

(c) In his second witness statement (24468), Mr Khayer states:

(i) that he was not involved in the signing of the contract but was aware that certain technical and commercial issues were still under discussion (paragraph 21);

(ii) That at the time of the letter of acceptance there were statements reinforcing full compliance with the tender and contract document but this was for the "alternative specification which will be submitted throughout the project" – paragraph 80;

(iii) That reluctance to sign the contract specifications was not due merely to the volume of the specifications but because the basis of the contract was the alternative offer – (paragraph 83);

(d) In cross-examination he accepted:

(i) That the specification never changed and that there was only one specification; and

(ii) That high quality was expected and there was no agreement that quality would be lowered;

(e) In Mr Clark's report dated 5 June 2025 he reviewed 9 architectural material design submittals and reviewed work by Mr McDonald to see whether 7 MEP or Building services material submittals to see whether BMA varied the contract specification (45653) and considered that with 3 exceptions (high pressure laminate, PU paint and paint for wardrobe shutters) there was no change;

(f) In Mr Clark's supplemental report of 16 June 2025, he:

(i) Identified that no revised specification had been produced by Architeriors (47080); and

(ii) Referred to an appendix from Mr White's report which produced an appendix which was said to be sample upgraded specifications from Mr Khayer and made clear that he had seen no other document validating the same and on that basis opined that there were further changes from this appendix. This appendix did not feature in Mr Khayer's evidence;

(g) In his first report Mr White of 3 June 2025 produced a sample of what was said to be alternative specifications from Mr Khayer (29743) and gave very tentative evidence based upon the same.

23. ENI denies that Architeriors has any entitlement to rely on the change in specification claim and makes the following main points:

(a) That the alleged claim would be wholly uncommercial – effectively treating the contract as remeasurable with an agreement to accept a lower level of specification as the work progressed which was unparticularized at any time prior to delivery;

(b) That the agreement is unsupported by documents and inconsistent with both the express terms of the Letter of Appointment and Contract which contained entire agreement terms; and

(c) That the parties did not act in accordance with the alleged agreement by, for example, Architeriors making claims as the contract progressed but only made the claim in the final payment application in June 2023.

24. ENI also relies on the evidence of Mr Elsadig who was involved with the project from 2021 until Jun 2024 although:

(a) He was not directly involved in the pre-award discussions; and

(b) As identified above, much of his evidence consists of recitation of documents and adds nothing to those documents.

25. I do consider that the change of specification claim has any validity for the following reasons:

(a) First, as is apparent from the history set out above, the basis of the claim has not been consistent. The pleaded basis of the claim relies on ENI proposing a new set of specifications to which Architeriors responded. However, Architeriors' case at trial is inconsistent with this. There was never a proposal by ENI of alternative specifications. Furthermore, no such contemporary specification was ever sent by Architeriors to ENI or BAM;

(b) Secondly the alleged agreement that specifications would be provided in the course of the project on an undefined basis is wholly uncommercial and inconsistent with the formal insistence on precise documents forming the contract including drawings, a Bill of Quantities and detailed specification. No precise details are given as to when the alleged agreement was reached;

(c) Thirdly the alleged agreement is also inconsistent with the provisions of the Letter of Acceptance and Contract both of which included the Specification as a contractual document and contained entire agreement clauses;

(d) Fourthly, although it is a fair point that Mr Elsadig was not directly involved in the pre-award negotiations:

(i) Mr Khayer's evidence as to any alleged agreement lacked any precision;

(ii) Mr Khayer was not involved in relation to the signature of the contract; and

(iii) Mr Khayer did not explain why, when instructed by his managing director to agree alternative specifications, he did not do so. If there was any such agreement, it could have been expected to be pursued vigorously but was not;

(e) Fifthly, Architeriors did not, contemporaneously, object to signing the specification on the basis that they did not agree to it – The minutes of meeting for 27 April 2022, by way of example (19955) refer to reluctance due to the size of the specification rather than an objection to the specification itself;

(f) Sixthly Architeriors' behaviour post contract was inconsistent with the alleged agreement. They did not put forward an alternative specification and did not complain in writing when BAM insisted on compliance with the specification. They did not put in claims for variations based upon the alleged alternative specification (although did make claims based on what were said to be variations from the contract specification);

(g) Seventhly, the first and only reference to what is now said to be the claim prior to completion of the contract works was in a meeting with the Adjudicator in July 2022 in two lines which reads "[Architeriors] stated concern about AI contract which is related to alternative offer. AI stated that

the history for alternative BOQ and contract are not according to original Specification". This does not make plain that the contractual specification was disputed or put forward any contractual justification for what is now sought; and

(h) Eighthly, the claim which was put in, after the date when Architeriors contend that they finished the work, was wholly unclear as to its contractual basis.

26. In my view the likely explanation for the above is as follows:

(a) Architeriors were very keen to secure the contract – otherwise they would not have been prepared to reduce their price as significantly as they did;

(b) Architeriors were fully aware that they would not be appointed unless they accepted a contract figure at or about AED 18m which was ENI's budget;

(c) Architeriors knew that they would not be appointed with a wholly undefined specification but never provided the same; and

(d) Architeriors were hopeful that they would be able to make claims but never stated prior to completion of the works that they considered that they had the benefit of the change of specification claim. At best this was something which they thought they might be able to raise in due course. For the avoidance of doubt, I do not consider that this course of conduct could be said to be acting in good faith.

The Extent of the MOM Settlement

27. The essential facts and terms of the MOM Settlement are set out above. I consider it clear that the settlement is not limited to extension of time claims or associated monetary claims but rather encompasses all claims made or notified by either party including claims for variations prior to the date of the MOM. This is primarily because of the wording of the MOM which was signed by both parties and in particular paragraph 4 which clearly extended beyond extension of time claims and associated monetary claims. This paragraph resolves any ambiguity which there might be in paragraph 3. I also observe that given the deal was plainly commercial rather than precisely based upon the contract, it made sense that all outstanding issues were resolved.

The Claims in Respect of Delay

28. Architeriors seeks a full extension of time of 200 days for the period from 17 November 2022 until the issue of the conditional taking over certificate on 5 June 2023. It relies on the factual evidence of Mr Khayer and the expert evidence of Mr Spruit as a delay expert seeking:

(a) 58 days of delay in the period 6 September 2022 to 12 January 2023 based on delay to joinery works and installation of sinks as a result of a late variation;

(b) 54 days of delay due to delays to receipt of the Building Completion Certificate in the period 13 January 2023 to 8 March 2023; and

(c) 88 days of delay in the period 9 March 2023 until 12 April 2023 due to delays to the issue of the Taking Over Certificate, it being said that the works were substantially complete by 12 April.

29. In the Joint Expert Report (51263), the Experts helpfully agree:

(a) That the Revised Baseline Programme with a data date of 5 September 2022 is the appropriate programme to measure progress after the MOM;

(b) Table 2 setting out their respective positions in respect of delay based on this programme with:

(i) Mr Tousiakis identifying 57 days of delay during the period 6 September 2022 to 12 January 2023 made up as to

1. 16 days of delay due jointly to delay to joinery and slow progress works of electrical works;

2. 39 days due to slow progress of electrical works; and

3. 2 days of delay due to cancellation of electrical works and completion of pending works by the contractor;

(ii) A much more granular analysis of the period 12 January to 5 June 2023 with the main issues being:

1. The extent of contractor delays;

2. The extent of delays by BAM in arranging for inspections by Dubai Municipality and the issue of revised drawings;

3. The extent to which works by the contractor to the main entrances, ground floor, basement and PV solar panels were caused by other contractors or delayed drawings from BAM; and

4. The readiness of the building for the taking over certificate and responsibility for delays to the fire alarm system and modification of certain control panels.

30. There was a dispute between the delay experts as to whether to use the early or late start dates shown on the baseline programme but Mr Tousiakis who had used the late start dates produced an assessment during trial showing that after the MOM, his opinion would be changed by only 1 day (reducing his view of delays) due to joinery and electrical works from 16 days to 15 prior and increasing the delays due to cancellations of applications and outstanding works by 1 day from 6 to 7 days prior to 16 January 2023. Given that, as I explain below, this difference is substantially exceeded by other matters, it is unnecessary to resolve the issue.

31. In the period from 6 September 2022 until 12 January 2023:

(a) It is plain that there was every incentive on the parties, and in particular, Architeriors to progress as fast as possible given that substantial works had already been done and the revised completion date;

(b) It is common ground that there was a variation to kitchen sinks and associated joinery in the flat with the relevant dates being (6948):

(i) ENI requesting change on 22 September 2022 to explore replacing single sinks with larger ones;

(ii) Approval of the new configuration being given on 20 October 2022; and

(iii) The sinks were substantially delivered to site on 10 December 2022 with the last 8 sinks being delivered on 12 January 2023 (28933);

(c) Mr Khayer's evidence is that Architeriors chased the Engineers for the relevant details between 22 September and 20 October 2022;

(d) Given the limited time until completion, many trades but in particular the electrical and joinery works were close to the critical path as is shown by the graphs in Mr Tousiakis's first report at around 40255;

(e) Mr Tousiakis also accepts that there were discrepancies in the available records although considers that these showed that for at least part of the period electrical works were more delayed than the joinery works;

(f) Mr Tousiakis could not identify any positive causes of delay to the electrical works explaining their progress. It does appear from the variation claims that there were a number of variations in relation to relatively small late-stage elements of the electrical works which may have affected completion; and

(g) The overall picture provided by the evidence is of a somewhat confused site with other contractors working alongside Architeriors and changes being sought to be made in order to finalise the overall works to the Amber Residency.

32. BAM was of the opinion that Architeriors was entitled to an extension of time of 37 days for the joinery variation although not to money because of unidentified concurrent delays (4274).

33. The progress reports produced by Mr Tousiakis show that the electrical works made good progress after the delivery of the majority of the sinks to site on 10 December 2022 but that they were only just over 90% complete by 4 January compared to 98% for joinery. Although I accept that there would be some limited overlap between final fix electrical works and the completion of the sinks, this appears simply too large to be attributed to the main delivery of sinks or the remaining 8 sinks delivered in January. In the circumstances, I consider that the delay up until 12 January was not entirely attributable, as Mr Spruit contends, to the sinks variation but also to other electrical delays which had become critical by the beginning of January. In the circumstances, doing the best I can on the basis of the somewhat unsatisfactory evidence, I consider that Architeriors has established an entitlement to an extension of 48 days in the relevant period.

34. So far as the period from 12 January 2023 to 5 June 2023 is concerned:

(a) The evidence is again somewhat confused as to what was actually occurring on site. It appears clear that works were being carried out by other contractors in relation to the swimming pool and external works which had a material impact on the completion and re-letting of the Amber Residency;

(b) There were delays by Architeriors in respect of the connection of solar panels although it seems that some of these delays were caused by other contractors' works;

(c) There were delays by BAM in updating information and allowing applications by Architeriors to the Dubai Municipality so as to allow for inspections; and

(d) The biggest single issue is as to whether Architeriors' work was substantially complete by about 9 March 2023 so that a Taking Over Certificate should have been issued or whether this was due to delays in modifications to the Fire Alarm system and control panels to various items of equipment.

35. So far as the completion of the works is concerned:

(a) Mr Khayer's evidence is:

(i) That Architeriors had been seeking to persuade ENI since November 2022 to carry out work falling outside Architeriors' scope so as to facilitate the early hand over of apartments but this did not happen;

(ii) That when works did occur there were disruptions and delays;

(iii) That the facilities management company refused to take over the Amber Residency until other works were completed;

(iv) That the Building Completion certificate inspection was carried out after delays on 8 March 2023 and approved without further comment; and

(v) That Mr Elsadig stated that the Taking Over Certificate would be issued immediately after the Building Completion Certificate but that this did not occur;

(b) Mr Elsadig produced the relevant correspondence during the period which does suggest that outstanding works were relatively minor and that works were dependent on interfaces with other contractors (6492);

(c) Much of the evidence given orally referred to outstanding works in relation to fire alarms and access panels with Mr Tousiakis being of the view that occupation of the first apartment was driven by completion of the fire alarm system (51545);

(d) However:

(i) It appears very unlikely that a tenant was able to move in the day after completion of a critical system;

(ii) It appears more likely that the issue of the Taking Over Certificate was related to the fact that 200 days had occurred since the end of the liquidated damages moratorium;

(iii) The documented works to the fire alarm appear very minor at this time and appear to have been due to changes with a change issued on 7 March 2023 at a stage when there is a documentary record of the fire alarm system being complete;

(iv) It appears that BAM prepared a draft extension of time until the time of the Taking Over Certificate (although without granting monies) which suggests that the Engineer considered that there were events delaying the contractor.

36. Having considered the evidence as a whole, I consider that Architeriors' contention that a Taking Over Certificate should have been issued on 9 March 2023 is justified. By that time their work was substantially complete and delays were being caused to the letting of the Amber Residency by other works. Although Architeriors continued to work on site they were substantially liaising with other contractors or completing items which were delayed or affected by other contractors.

37. In relation to the earlier period from 13 January 2023 until 8 March 2023:

(a) Both experts are agreed that there were delays due to

(i) Updating of the data base by BAM, non issue of relevant information by BAM and unplanned inspections by Dubai Municipality; and

(ii) Outstanding works to solar panels and the front doors which appear to have been impacted by other contractors; and

(b) Further the experts are agreed that there was a minimum period of 8 days of delay by reason of Architeriors not being ready to accept carry out works (with Mr Tousiakis considering the delay was longer).

38. Although I consider that the majority of delays in this period were due to matters for which Architeriors was entitled to receive extensions of time, I also consider that the period of 8 days delay in this period understates Architeriors' entitlement and that it was responsible for 16 days of delay.

39. It follows that Architeriors are entitled to an overall extension of time of 184 days (48 until 13 January, 48 from 13 January till 8 March and 88 thereafter). It follows that ENI are entitled to Liquidated and Ascertained damages for 16 days.

40. So far as prolongation costs are concerned:

(a) There is a minimal difference between the quantum experts as to the actual daily cost of indirect time-related resources amounting to only AED 26 per day. As indicated during the hearing, I will split the difference between the two figures so that the daily rate is AED 4,564,05 or a total of AED 839,850.52 for the 184 day period;

(b) Architeriors seeks to claim head-office overheads based on the Emden formula which the quantum experts have agreed on a "figures as figures" basis as being AED 1,803,839.30 for 200 days and would therefore be AED 1,659,532.16 for 184 days;

(c) It is agreed that the contract conditions preclude a claim for loss of profit in addition to loss of head-office overhead;

(d) ENI disputes the entitlement based on the fact that there is no evidence that Architeriors turned work away and suggests as a possible alternative the Eichleay formula which would produce a figure lower than that produced by the Emden formula.

41. The principle upon which claims for head-office overheads recovery are based is that as a result of the employer's risk events, the contractor has been denied the opportunity to engage in other revenue and profit-earning work which would have contributed to the overheads. For a small contractor engaging in business, this should be a relatively easy task and it is normally accomplished by producing evidence of opportunities which were lost or turned away. In this case, as the cost experts agree, there is no such evidence whether documentary or by way of witness testimony. I am nonetheless asked to infer that such opportunities were lost. I decline to do so for two reasons:

(a) First it is for Architeriors to prove its loss and it has had every opportunity to do so but has not taken it.

(b) Secondly, I consider that the circumstances in which Architeriors bid for the present contract with dramatic reductions in price and a willingness to sign up for onerous conditions suggests that it may well be that there were no other opportunities open to it.

42. It follows that the claim for recovery of head-office overheads fails.

43. There are two issues in respect of the 16 days of delay for which there is no extension of time:

(a) First whether actual costs incurred in respect of payments to BAM are recoverable; and

(b) Secondly whether there are any grounds for adjustment under Article 390 of the UAE Civil Code.

44. There is no basis for the claim for the actual costs incurred by ENI in addition to the delay damages stipulated in the contract. Clause 8.7 of the General Conditions (51461) provides that if the Contractor fails to comply with sub-clause 8.2, he shall pay delay damages to the Employer and that these delay damages "shall be the only damages due from the Contractor for such default". There is no basis for adding a particular head of damages to this claim.

45. Article 390 of the UAE Civil Code provides

"(1) The contracting parties may fix the amount of compensation in advance by making a provision therefor in the contract or in a subsequent agreement, subject to the provisions of the law.

(2) The judge may in all cases, upon the application of either of the parties, vary such agreement so as to make the compensation equal to the harm, and any agreement to the contrary shall be void."

46. Although I accept that Article 390 gives the Court power to vary the parties' agreement, I consider that it will be a rare case in which such power is exercised where the parties have entered into a detailed written agreement for the provision of building works in an internationally recognized standard form. This is because:

(a) The selection of the rate for damages in a case such as this will affect the risk and pricing of the contract;

(b) The allocation of risk is an important function of such a contract; and

(c) The selection of the rate will be important to avoid difficulties and uncertainties of proof and should simplify the process of dispute resolution.

47. In the present case there is nothing to suggest that the rate selected was other than sensible and appropriate. Indeed it is far from certain that the evidence that ENI sought to adduce as to lost rent establishes that rental could have been obtained earlier but for Architeriors' default. Investigating and deciding that issue increases expense in a commercially undesirable manner. Accordingly, the damages recoverable by ENI are limited to AED 160,000 being 16 days at AED 10,000 per day.

The Claims for Variations

48. AED 1,608,930.81 of variations were certified during the course of the contract as set out in PC No 20. Architeriors claims an additional total of AED 1,608,930.81. The joint statement of the quantum experts identifies 35 variations of which 14 are disputed. Four of the disputed variations are accounted for by back-charges made by ENI in relation to previously certified variations meaning that the sum now accepted by ENI is AED 1,548,795.98. It is to this sum that the evaluation of disputed variations should be added.

49. I set out below my conclusions in respect of the disputed variations:

(a) Variation 1 – Additional Plaster Works with a claim for AED 494,811.45. This claim was first submitted on 3t May 2022 and rejected. It was also rejected by the Adjudicator. On the basis of my conclusions as to the effect of the MOM, it was settled by the same and no sum is due.

(b) Variation 23 – Additional cables and conducting for emergency exit lights. It is accepted that there was a variation but the dispute is as to amount with Architeriors claiming AED 28,108.68 and BAM having certified AED 14,054.68. There is a difference between the experts as to whether to base the assessment on a re-measurement or a contemporaneous quotation. The re-measurement seems unsatisfactory, and I prefer Mr White's assessment based on contemporaneous documents at ED 25,108.68. An additional sum of AED 11,054 is therefore due.

(c) Variation 24 – Electrical Works – Architeriors claims AED 323,883.21 on the basis that new cables were provided instead of using existing wires and conduits as set out in Bill of Quantities No 16 at page 16.10. Although there was no formal instruction from BAM, there was a contemporaneous claim and recognition of the change by letter dated 19 January 2023 and BAM certified AED 56,734 on account. Further the documents support the fact that the lighting control system was omitted. The amount is supported by Mr White but disputed by Mr Corelj on the basis of lack of evidence and illegibility of the drawings. Mr Elsadig accepts that some cable was missing but asserts that the claimed quantities are far too high. His secondary assessment is AED 224,638.72 based on quantities recorded on an invoice. I accept Architeriors claim on the basis of Mr White's evidence based on an evaluation oftender quantities and contemporaneous evidence. An additional AED 267,149.21 is due.

(d) Variation 25 – Light Fittings. This claim was originally put forward on the basis that additional costs were incurred as a result of the selection of an alternative supplier by letter dated 1 July 2022 with quantification of AED 303,258.00. It appears that Architeriors also asserts that there was a change in quantities with a difference between the quantities and those shown in the Bill of Quantities although the precise basis and nature of the claim is not clear. I do not consider that Architeriors has established any entitlement to make the claim given the MOM. Further clause 12.5 of the Particular Conditions puts the risk of discrepancies between the drawings and the Bill of Quantities on the contractor which is a further reason for the claim to fail.

(e) Variation 27 – Control Panel BMS Modification. A provisional sum was included for this item on the basis that the design was not complete at tender stage. A provisional variation order was provided on 7 March 2023 in the sum of AED 31,050 being AED 27,000 plus 15% OHP. An amount of AED 18,630 was paid on account. I consider the variation to be valid and properly claimed in the amount sought. An additional AED 31,050 is due.

(f) Variation 30 – Cutting in False Ceiling – AED 13,305. Access was required to be provided as set out in ENI's email of 10 January. There was no requirement for access to this work and I consider this a valid variation. The quantum is agreed and an additional AED 13,035 is due.

(g) Variation 31 – External paint – AED 460,661.51. The contractual basis for this claim is confusing and unclear. It is not supported by either quantum expert. It appears to arise out of a reduction agreed at tender. Insofar as it is based on additional quantities, the risk falls on Architeriors. I do not consider that there is any basis for the claim.

(h) Variation 35 – Control Panel Modification to the FAHU, Pumps and Garbage Fan. The Engineer considered this modification to be duplicated with VO 27 but this is incorrect. The panels were different. The variation is valid for the same reasons and the quantum is agreed at AED 58,408.21. An amount was paid on account of AED 45,548.97, an additional AED 58,408.21 is due.

(i) Variation 36 – Paint for Staircase. This was not shown on any drawing and it appears clear that painting was required. It is said to have been made necessary by reason of damage by Architeriors, but there is no evidence of this. There is a small difference between the quantum experts as to the quantum. I prefer the evidence of Mr White which is in accordance with contemporaneous quotations and find the sum due to be AED 30,750 which is an additional sum to that accepted by ENI.

(j) Variation 37 – Removal and reinstallation of 2 FCUs. This was necessary for testing and commissioning by others. I consider it to be a valid variation. I accept Mr White's evaluation of AED 9,500 which is an additional sum.

50. In relation to the four claims where ENI seeks to make back-charges on the basis that sums were wrongly certified and paid:

(a) These items were ones accepted by BAM during the course of the contract. Although ENI is, of course, entitled to challenge these matters, the fact of acceptance does suggest that there is likely to have been a basis for the variations given BAM's knowledge of and involvement with the project.

(b) The pleading position in relation to these four items is rather unsatisfactory as neither side identified a positive case in relation to them;

(c) VO 20 related to the relocation of sprinklers in the basement where there was a difference between ceiling levels which was approved by BAM. ENI objected in its Defence and Counterclaim to this work on the basis that it was implicit in the drawings and details provided. I consider this to be unrealistic. The works were meant to be fully designed, and BAM assented to the change. There was a contemporaneous assessment of cost at AED 13,455 and I consider this sum to be due in addition to that accepted by ENI.

(d) VO 26 – PV Solar System additional requirements. The sum claimed and accepted was AED 29,062 for additional Dubai Municipality requirements. The sum was originally a provisional sum and there appears no basis to challenge the variation. Its amount is agreed at AED 29,062.20 which is therefore payable in addition to the sums accepted by ENI.

(e) VO 28 – Paint to External Planters – AED 11,471.25. The planters had originally been due to have a plain finish. The provision of paint was therefore a variation. Mr Corelj assesses the proper cost of this at AED 24,947.90. As this variation has been opened up (44861), I accept this sum which is due in addition to that accepted by ENI.

(f) VO 33 – Water tank treatment - AED 76,935.00. The rejection is based upon the assertion that the circulation pump fell within Architeriors scope of work but it appears that the wrong pump is being referred to. Although Mr Corelj is uncertain as to the scope of this variation, the contemporaneous acceptance by BAM suggests its validity and I accept that it is due.

51. The total sums for the disputed variations in addition to those accepted by ENI amount to AED 565,346.52 making the variations account AED 2,114,142.50.

Non-Executed Work

52. ENI claims AED 672,623.00 relating to 22 items that it asserts that Architeriors failed to execute. AED 75,340 is accepted by Architeriors. A summary of the items is at 51392. My findings are as follows:

(a) The following items are agreed – Numbers 5, 6, 8, 9, 10, 14, 15 and 16 where the total is AED 106,106.63 for those items where there is a deduction to be made;

(b) I reject the following deductions:

(i) Number 1 (Artificial Stone and shelves) on the basis that it is not apparent either that the work was in scope or that any work has been done by ENI;

(ii) Number 3 (Car park vents) on the same basis;

(iii) Number 4 – basement flushing where it appears the work was likely related to other contractors;

(iv) Number 7 (Fire alarm interfacing) on the basis that the work appears to be extra work at the very end of the contract;

(v) Number 11 (CCTV cables) where the work was outside the scope of Architeriors contract;

(vi) Number 12 (ironmongery) where the work was outside scope;

(vii) Number 13 (ATS panel) where the scope is wholly unclear and there is no evidence the work was done;

(viii) Number 18 (PA system) where the work was not in scope;

(ix) Number 19 where there is no evidence the work was done by ENI;

(x) Number 20 – AC duct cleaning where it appears work was attributable to others;

(xi) Number 21 where it is not clear that the work related to Architeriors; and

(xii) Number 22 – balcony floor traps where it is not clear that the work was within scope; and

(c) I accept the following deductions to the extent shown

(i) Number 2 – Expansion joint where the work was in scope and evidence of ENI carrying it out provided – AED 10,900;

(ii) Number 17 lifts upgrading. This required verification of the scope but the details were not agreed during the course of the work. This appears to have been due to the antiquated state of the system. The work actually done is accordingly not the same as that included. The best estimate of the value omitted is AED 25,000 and the deduction is allowed to that extent where the work was not done and the costs of carrying out the same were provided at AED 163,725.63.

(d) The total deductions are accordingly AED 248,113.26.

Incomplete Work

53. ENI claims AED 421,438.75 for 15 incomplete items of work. Architeriors accepts deductions of 53,621 (Paragraph 60 of Architerior's Opening). Mr Coralj provides assessments totalling AED 98,691.55. In respect of the items supported by him but not accepted by Architeriors, I find:

(a) I do not accept the deduction for the cold-water aluminium pipe cladding or the SMATV antenna installation or their method of assessment. There is no satisfactory evidence of the alleged incompleteness.

(b) I also do not accept the costs involved in the emergency exit lights, testing or commissioning which appear related to last-minute changes with no opportunity given to Architeriors to carry out the works;

(c) It follows that the deduction is AED 53,621.

Deductions for Non-Conforming Works

54. Two deductions are sought to be made for alleged non-conformity in relation to the curtain wall glazing and the lighting control system. The total sum is AED 19,031. The works were inspected and approved by BAM and there is no evidence demonstrating non-conformity. The deductions are accordingly invalid.

DEWA

55. A total of AED 561,708.51 is claimed which is said to be based on payments actually made to DEWA. This is said to be supported by the evidence of Mr Elsadig (see 6975) but instead he simply relies on clause 4.19 of the Particular Conditions and states that the amounts were AED 46,889.24 and AED 379,119.74 for common area meters and AED 135,659.53 for apartment meters between January 2022 and June 2023.

56. Further:

(a) Clause 4.19 suggests that there will be mutual agreement on a metering system between the parties;

(b) The Tender Review Observations jointly agreed between the parties shows that the parties agreed only that payment for water used for Architeriors works was to be by Architeriors (3161);

(c) No attempt was made to levy charges during the contract – no doubt reflecting this agreement;

(d) There is no evidence that sums were due for water used by Architeriors; and

(e) The difficulties in understanding the position are reflected by various different figures produced by the quantum experts.

57. It follows that there is no basis for this head of claim.

The Claim for Waterproofing Defects

58. The claim under this head is for a total of AED 5,001,818.05 (51328) in respect of what are said to be costs incurred and to be incurred in the future in respect of defects in waterproofing.

59. Mr Elsadig's evidence is:

(a) That Architeriors did not install the flooring correctly in bathrooms with the correct falls (6976);

(b) That problems were rectified by Architeriors in 29 apartments;

(c) That ENI would have preferred Architeriors to carry out the works but that the matter became urgent and ENI had to seek an alternative contractor; and

(d) That Al Shiwari were engaged as an alternative contractor to undertake the works.

60. Mr Khayer asserts:

(a) That all notices provided to Architeriors were acted upon and the problems rectified;

(b) That the original water pipes providing water to the building were not altered and appeared to have caused problems; and

(c) That Architeriors were not informed of mould problems and would have remedied them if made aware of the same.

61. Mr Clark was not retained contemporaneously in relation to the water-proofing problems and accordingly has not visited the site. His evidence in relation to the water-proofing problems is necessarily limited to reviewing the design information and other documents made available to him. At paragraph 5.1.1 of his first report (45626) he accurately describes his work as a desk top investigation. His evidence:

(a) Records the carrying out of remedial works in relation to shower draining;

(b) Is based upon apartment 202 for which he was provided with photographic and video evidence (although referred to evidence in another 20 apartments);

(c) Identifies required remedial work for the work re shower draining;

(d) Refers to water pipe connections but says the relevant drawings are illegible (45642);

(e) Identified what appeared to be defective connections; and

(f) Responded to Mr Khayer's evidence (47085).

62. Mr Corelj:

(a) Identified that works had been undertaken in 23 apartments at a cost of AED 1,474,973.58 (44818); and

(b) Estimated that future works of AED 1,226,472.67 might be required.

63. The contract as amended required by clause 11.1 Architeriors to execute all work required to remedy defects or damage within the timeframe specified by ENI with urgent work being done within 12 hours and ENI being entitled, in the event of non-compliance to remedy the defects or damage at Architeriors expense (243).

64. Given the apparent importance of this claim, it could be expected that there would be a clear link between notifications to Architeriors and the work done. However, this is not the case. Thus:

(a) In respect of Apartment 202 a notification was given on 10 March 2023, but a quotation provided on 30 May 2025 more than two years later (Item 20 at 44931);

(b) Purchase orders were often given months after work was done (see eg 23870 being an order of 5 June 2024 for work on 4 March 2024);

(c) There is no clear evidence of notification being given of individual defects as one would expect; and

(d) It is clear that Architeriors did carry out substantial work when notified of problems.

65. Further it seems unlikely that further work will now be done to apartments where work has not been carried out.

66. In the circumstances I reject this claim. It is brought on a specific contractual basis in respect of defects notified and required to be repaired but ENI have not established their entitlement to make charges on this basis.

The Final Account

67. The quantum experts agreed the form of a final account to be updated following the Court's findings. Attached to this judgment at Appendix 1 is a version of this based upon my findings which demonstrates that a sum of AED 2,719,662.58 is due to Architeriors.

68. I should be grateful if the parties would check the figures and seek to agree any consequential findings in relation to interest and costs. I will resolve any differences which remain.

69. I am grateful to the parties and their advocates for the way in which they presented their respective cases. It is the function of the Court to resolve disputes between parties and the Court will do so even if some claims or counterclaims have very little merit. In this case both parties put forward claims which can be said to have been, at best, speculative. Such claims were mixed with other, more realistic, contentions. It may be that if each side had been more realistic and avoided the more fanciful claims it would have been possible to resolve this matter without recourse to a full hearing. Certainly, the costs of any resolution should have been lower.

No.	Description	Amount (AED)		
1	Contract Price	18,191,560.11		

No.	Description	Amount (AED)		
2	Variations	2,114,142.50		
3	Prolongation - On Site Overheads	839,850.52		
4	Prolongation - Off Site Overheads	0		
5	Upgrade Material Specification	0		
6	Building Permit and NOCs	5,570		
			21,151,123.13	
Deductions				
7	Previously Received Amount	16,073,689.46		
8	Direct Payments	1,896,036.83		
9	Non Executed Work	248,113.26		
10	Incomplete Work	53,621		
11	Non Conforming Work	0		
12	DEWA	0		
13	Nominated Subcontractor	0		
14a	Engineer's Supervision	0		
14b	Loss of Rental	0		
15	Rectifications	0		
16	Waterproofing	0		
17	Loss of Reputation	0		
18	LADs	160,000		
			18,431,460.55	
				2,719,662.58